

US Bond Market **Weekly Update**

10yr Treasury 4.47% ▲ 8 bps MTD	2yr Treasury 4.00% ▲ 12 bps MTD	IG OAS 76 bps ▼ 5 bps MTD	HY OAS 276 bps ▼ 1 bps MTD
--	--	--	---

WORD ON THE DESK

The week ending May 15 was defined by a pronounced global fixed income sell-off, as energy-shock-driven inflation fears — amplified by the ongoing Iran war — collided with renewed speculation around Fed tightening and synchronized central bank risk across the G10. The simultaneous decline in equities and bonds underscored a shift in the risk narrative: this is no longer a growth-scare environment but one in which stagflationary pressures are forcing investors to reprice both duration and credit risk premiums. For fixed income allocators, the key tension remains between elevated all-in yields that are historically attractive on an absolute basis and the possibility that rate volatility stays structurally elevated as geopolitical supply shocks keep inflation unanchored. We are watching the long end of the Treasury curve, IG spread durability near multi-month tights, and the Fed's reaction function as the week's central themes heading into what promises to be an active central bank calendar.

MARKET COMMENTARY

01 A broad global bond sell-off dominated Friday's session, driven by surging inflation fears tied to energy supply disruptions stemming from the Iran war, compounded by UK political uncertainty and speculation around Japanese fiscal stimulus [DATA: as of 2026-05-15]. Bond yields rose worldwide as markets priced in higher inflation risk and a potentially more hawkish Federal Reserve, producing simultaneous losses in both equities and fixed income — a cross-asset dynamic that signals elevated stagflationary concern rather than a simple risk-off flight to quality.

→ The co-movement of stock and bond declines is a meaningful regime signal: in a traditional risk-off episode, Treasuries would rally as equities fell, but inflation-shock environments break that hedge relationship, reducing the diversification value of duration in multi-asset portfolios.

→ UK political uncertainty and Japan stimulus talk added idiosyncratic pressure to global sovereign markets, suggesting this sell-off has multiple regional catalysts beyond U.S.-centric drivers.

02 Treasury yields rose across the curve week-over-week, with all data reflecting the May 14 close [DATA: as of 2026-05-14]. The 2-year yield stands at 4.00%, up 12 basis points from the May month-start level of 3.88%, while the 10-year sits at 4.47%, 8 bps above its month-start level of 4.39%. The 30-year has pushed to 5.02%, surpassing the month-start level of 4.97% and crossing the psychologically significant 5% threshold.

→ The 2s10s spread is approximately 47 bps and the 2s30s is approximately 102 bps — both modestly steeper than month-start levels of 51 bps and 109 bps respectively, suggesting the curve has bear-flattened intra-month as front-end repricing has outpaced the long end on a relative basis.

→ Compared to a year ago, the 10-year is only 2 bps higher (4.45% then vs. 4.47% now), but the 30-year has risen 11 bps year-over-year (4.91% to 5.02%), reflecting persistent term premium expansion at the long end driven by fiscal and inflation uncertainty.

03 Bond traders have been positioning ahead of a packed central bank calendar, with the Fed and ECB both scheduled for rate decisions and all major central banks expected to hold rates unchanged [DATA: as of 2026-04-27]. Despite the hold consensus, markets are acutely sensitive to any hawkish signal from Fed Chair Powell or ECB President Lagarde, given that war-driven inflation shocks could force central banks to acknowledge upside inflation risks even as they pause the hiking cycle.

→ A hawkish hold — where the policy rate is left unchanged but the statement or press conference shifts the forward guidance toward further tightening — could be as destabilizing for duration as an outright hike given current market positioning.

→ No Fed speakers were captured in this week's data payload, leaving the policy communication picture largely dependent on the upcoming meeting statement and Powell's press conference as the primary Fed signal for markets.

04 Investment-grade corporate spreads tightened 5 bps month-to-date to 76 bps OAS as of May 14, representing a meaningful compression from the May 1 starting point and signaling resilient risk appetite in IG credit despite the rate volatility backdrop [DATA: as of 2026-05-14]. However, MTD total returns for IG corporates are -0.03%, reflecting the reality that spread tightening has been insufficient to offset the duration headwind from rising Treasury yields.

→ At 76 bps OAS, IG spreads are historically tight and offer limited cushion against further yield or spread widening — investors adding duration here are accepting asymmetric risk given the geopolitical and inflation uncertainty in the current environment.

→ Primary market supply technicals will be important to monitor: if issuers accelerate front-loading ahead of central bank meetings or further yield volatility, a surge in new issue concessions could serve as the catalyst to cheapen current spread levels.

05 High-yield corporate spreads tightened 1 bp month-to-date to 276 bps OAS as of May 14, a far more muted move than IG and one that suggests HY has already absorbed more idiosyncratic risk premium relative to investment grade [DATA: as of 2026-05-14]. MTD total returns for HY corporates are -0.09%, slightly worse than IG on a total return basis, with rate sensitivity and lower-quality credit risk compounding in the current inflation-shock environment.

→ HY spreads at 276 bps remain well inside long-run historical averages, and the marginal tightening of only 1 bp MTD (versus 5 bps for IG) suggests the market is differentiating: IG names with strong balance sheets are attracting spread compression bids, while HY's energy-price-sensitive issuers face more nuanced credit risk given the war-driven commodity shock.

→ A simultaneous equity and bond selloff — as occurred Friday — typically introduces incremental pressure on HY spreads given the asset class's higher equity beta; vigilance around spread levels in the 250-300 bps range is warranted heading into next week.

06 Agency MBS and securitized sectors are not directly captured in this week's data payload, but the broader rate environment provides important context for sector performance. Rising yields — particularly at the 10-year and 30-year tenors, which anchor mortgage rates — continue to suppress prepayment speeds and create extension risk in current-coupon MBS, a dynamic that mechanically impairs excess returns relative to duration-matched Treasuries when rates sell off.

→ In a bear-steepening or bear-parallel rate environment driven by inflation fear, MBS convexity drag tends to be most acute: as rates rise, negative convexity causes MBS durations to extend precisely when investors least want more rate exposure.

→ Should energy-driven inflation expectations remain elevated and mortgage rates move higher alongside long-end Treasury yields, any near-term refi wave or demand stabilization in housing will be further delayed, keeping prepayment volatility subdued but extension risk elevated.

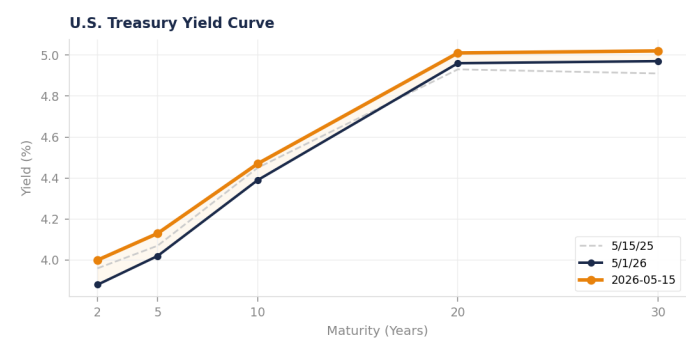
07 The geopolitical backdrop — specifically the Iran war and its cascading effects on global energy markets — emerged as the dominant macro theme for the week ending May 15, manifesting in a global sovereign bond sell-off on Friday that pushed yields higher across the G10 [DATA: as of 2026-05-15]. The energy shock transmission channel is inflation-additive in the near term, but its second-order effects on growth remain a critical watch item: if

supply disruptions persist, central banks may face a more difficult policy tradeoff between combating energy-driven inflation and protecting slowing growth.

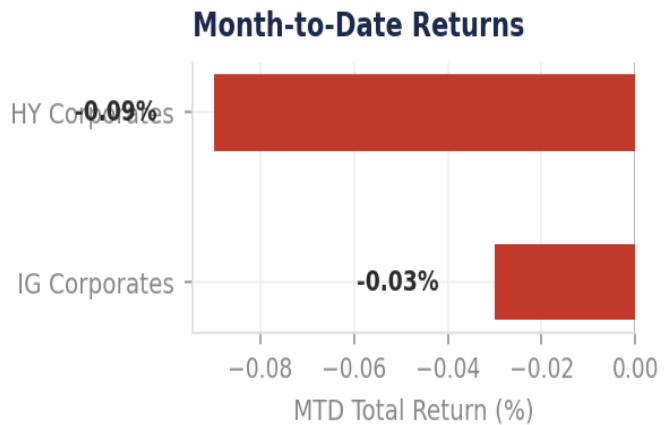
→ From a portfolio positioning standpoint, geopolitical tail risk of this nature argues for maintaining a modest underweight to duration in the near term while ensuring credit quality is sufficient to weather a potential growth slowdown — the classic stagflation dilemma with no clean defensive posture.

→ The convergence of the Iran conflict, UK political instability, and Japan stimulus speculation into a single week's narrative is a reminder that idiosyncratic regional risks can become correlated quickly when the common thread is inflation and policy uncertainty.

MARKET DATA



	2yr	5yr	10yr	20yr	30yr
Yield (%)	4.00	4.13	4.47	5.01	5.02
MTD (bps)	+12	+11	+8	+5	+5



Sector	OAS (bps)	MTD Chg
IG Corporate	76	-5
HY Corporate	276	-1

DATA SOURCES

Series	Value	As Of	Source
2yr Treasury	4.00%	2026-05-14	FRED:DGS2
5yr Treasury	4.13%	2026-05-14	FRED:DGS5
10yr Treasury	4.47%	2026-05-14	FRED:DGS10
20yr Treasury	5.01%	2026-05-14	FRED:DGS20
30yr Treasury	5.02%	2026-05-14	FRED:DGS30
IG OAS	76.0 bps	2026-05-14	FRED:BAMLC0A0CM
HY OAS	276.0 bps	2026-05-14	FRED:BAMLH0A0HYM2
IG Corporates MTD Return	-0.03%	2026-05-14	FRED:BAMLCC0A0CMTRIV
HY Corporates MTD Return	-0.09%	2026-05-14	FRED:BAMLHYH0A0HYM2TRIV